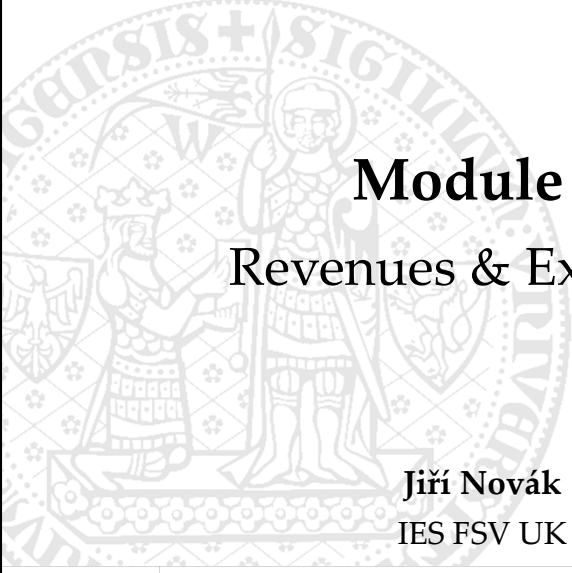




Module 2

Revenues & Expenses

Jiří Novák
IES FSV UK



Admin

- **CFA Investment Research Challenge**
 - application deadline: Thursday, October 16, 2025, at 23:59
 - news at IES web

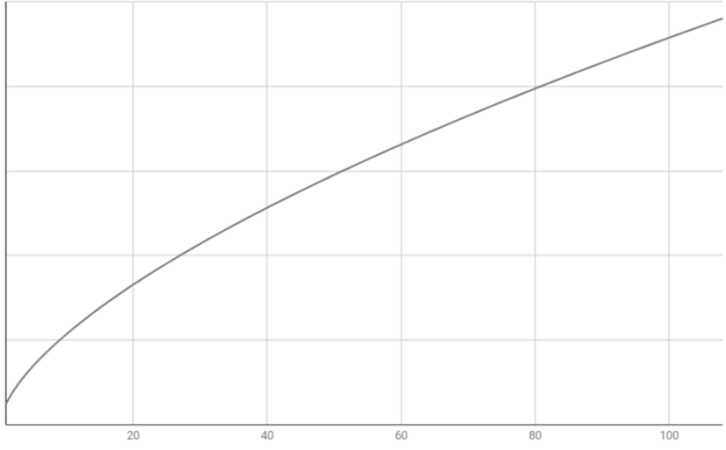


- 2 -



Admin

- **Bonus Points**



- 3 -



Admin

- **Examination**
 - Mondays, probably around 1 p.m. (?)
 - January 12
 - January 26
 - February 9
 - earlier dates not available to give students enough time to prepare well for the exam
 - 5 weeks of exam period ~ 1 week/exam
 - if you cannot be in Prague for *any* of the exam dates, let us try to arrange an opportunity to take the exam where you will be then

- 4 -



Admin

- **Examination**
 - sample exam (i) instructions, (ii) answer sheet, and (iii) questions posted in shared online folder “Exams (ACT25)”
 - all exam questions are new, formulating good questions is not trivial, finding good questions for free exam attempts is challenging

- 5 -



Admin

- **CFA Investment Research Challenge**
 - kick-off presentation
 - Wednesday, October 8, 6:00 p.m., VŠE room RB213, lifestream available
 - news at IES web

- 6 -



Recap

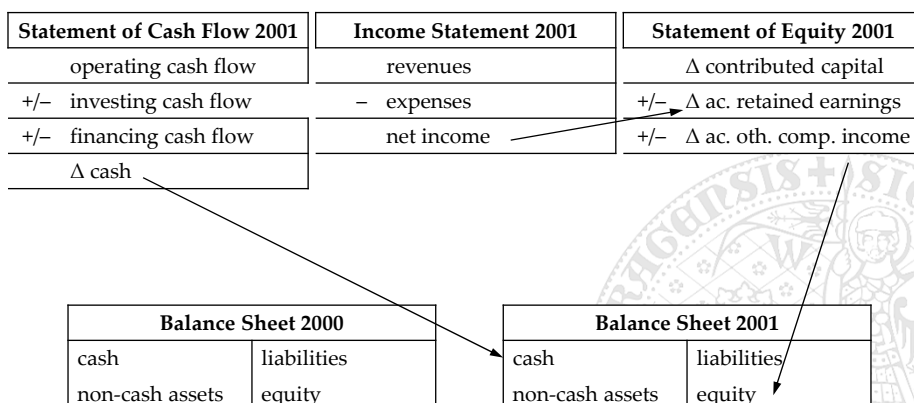
Financial Accounting

- serves as the “*language of business*” that helps coordinating economic activity
- captures key consequences of complex business activities in a *parsimonious* and *standardized* way
- helps understand a firm’s *financial position* (BS), and *performance* (IS, SCF)
- increases *transparency* and encourages *investment* by capital providers (owners & creditors)

- 7 -



Recap



- 8 -



Recap

▪ Balance Sheet

- *assets* – valuable items that *give future benefit*, “storage of value”
- *liabilities* – obligations that *reduce future benefit*, “negative assets”
- *equity* – represents *residual stake* of firm owners in net assets (= assets – liabilities), defined indirectly by measuring assets & liabilities

- 9 -



Recap

▪ Assets

- something that gives the firm future economic benefit *and* meets all of these three criteria:
 - results from past events
 - firm controls it (~ owns)
 - future economic benefits are reasonably certain

- 10 -



Recap

Liabilities

- *present obligations* – company is *liable* to transfer benefits to other parties (“liability”)
- *negative assets* – probable future *sacrifices* of economic benefit, i.e., liabilities can be seen as “negative assets”

- 11 -



Recap

Equity

- at *liquidation* assets are sold, cash is used to settle liability claims; whatever left belongs to owners
- “net assets” = $Eq = As - Li$

Balance Sheet

As \$ 1 000	Li \$ 300
	Eq \$ 700



- 12 -



Recap

▪ Question

- To what extent is it fair to argue that common shareholders' equity represents the *value* of the company to the owners?
- Under what conditions is the book value of equity (BE) a good approximation of the market value of equity (ME)?

- 13 -



Recap

▪ Answer

- in publicly traded firms, the "true value" of the firm for owners can be approximated by the *market value* of equity ($ME = P * \text{\#Shares}$)
- equity = *net assets*, represents the part of company's worth not claimed by other parties.
- importance of the *measurement error*:
 - *liabilities* – market value ~ book value
 - *assets* – ?

- 14 -



Questions

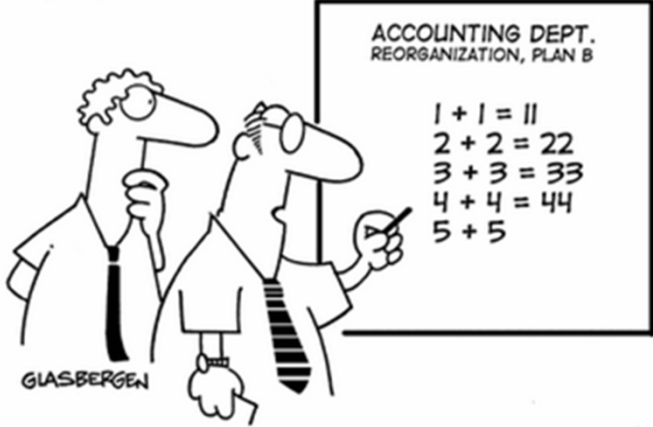


Balance Sheet	
cash marketable securities accounts receivable inventories prepaid expenses	accounts payable accrued expenses notes payable & short-t. debt current maturity of long-t. debt unearned revenue
long-term investments property, plant & equipment intangible assets	long-term debt minority interest contributed capital retained earnings accum. other compreh. income

- 15 -

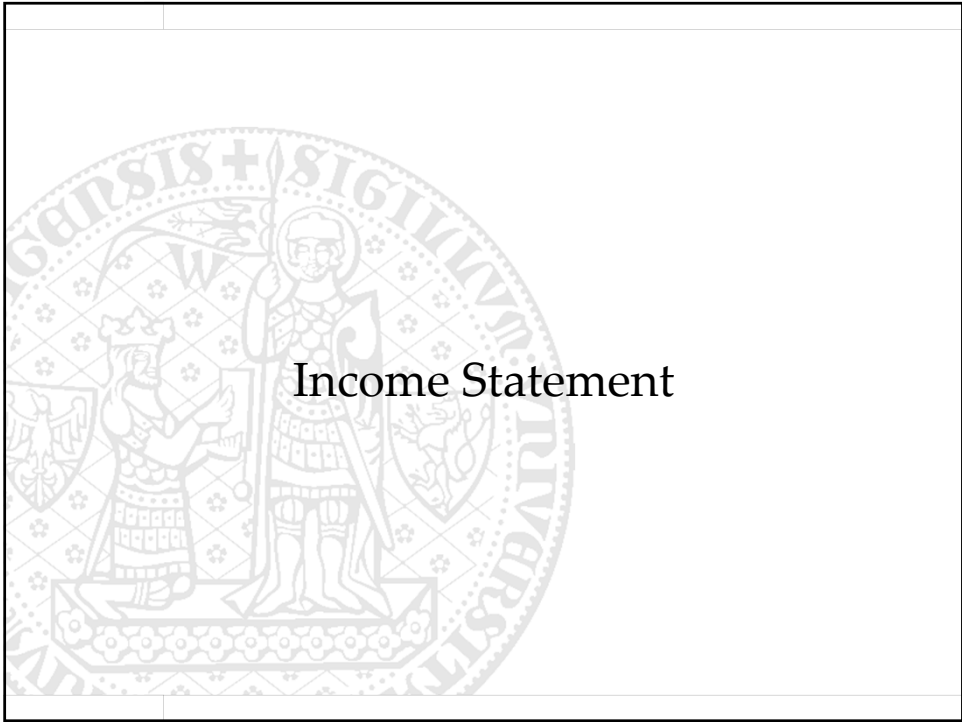
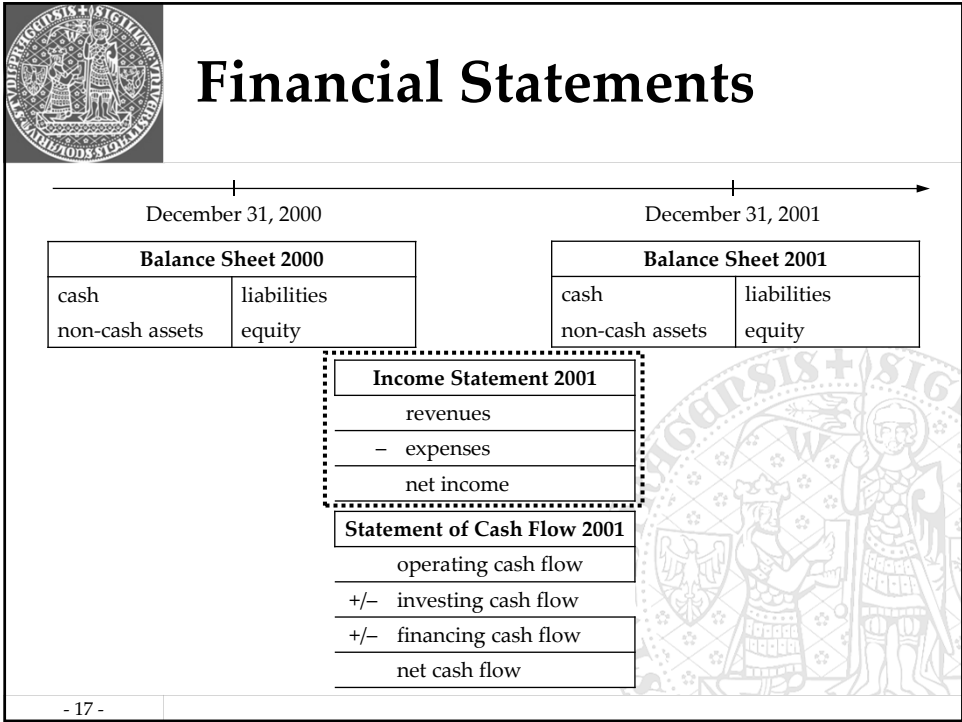


Accounting Rules



“For years, we’ve been playing by old rules and the results have been dismal. It’s time for a bold new direction!”

- 16 -





Income Statement



- **Income Statement (P&L)**
 - measures *economic performance*, how much *value* firm created for owners over a fiscal year
 - shows *revenues* generated and *expenses* incurred

Income Statement	
<i>expenses</i>	<i>revenues</i>
<i>losses</i>	<i>gains</i>
earnings or net income or profit	

- 19 -



Income Statement

- **Question**
 - In the T-shape presentation format of the income statement, the expenses are on the debit side (i.e., left), and the revenues are on the credit side (i.e., right).
 - Is this just a convention that can be flipped? Or is there a fundamental reason why expenses should be recorded as debit entries and revenues and as credit entries?

- 20 -



Income Statement



- **Debit vs. Credit**
 - is it a convention or a necessity?
 - revenues are *credits*
 - expenses are *debits*
 - generating profit implies increasing owner's wealth ~ equity, hence $ARE \subset Eq$

Assets	Liabilities, Equity	Expenses	Revenues
			Revenues
			1000
		Expenses	
		850	
	Retained Earnings		Net Income
	150		150

- 21 -



Income Statement




- **Functional (Multi-Step) Form**

Income Statement	
+	net sales
-	cost of goods sold (COGS)
	gross margin
-	selling, general and administrative expenses (SG&A)
+/-	other operating income/expense
	operating income (EBIT)
-	interest expense
+/-	other financial income/expense
	pre-tax income
-	income tax expense
	net income (NI)

} operating
 } financing

- 22 -



Income Statement

Question

- In the functional presentation format of the income statement, the individual line items are organized differently.
- What is the benefit of this presentation, and why may it be preferable for investors? Based on what criterion are the individual line items ordered in this functional format?

- 23 -

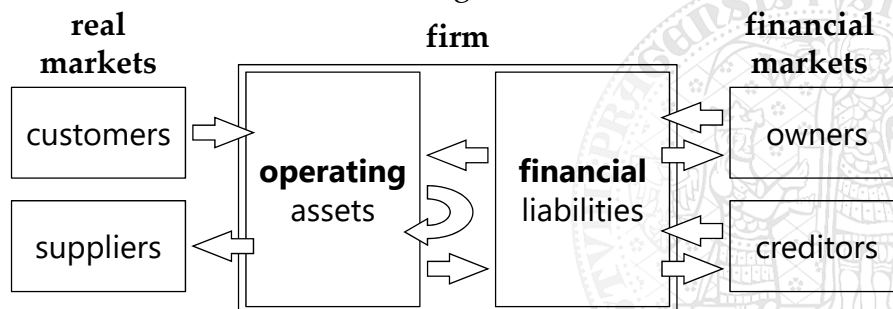


Income Statement



Operating vs. Financing

- *operating* – directly related to production, interactions through product & labor markets
- *financing* – related to acquisition of capital, interactions through financial markets



- 24 -



Earnings



- **Net Income**
 - *earnings* measure result of company's economic performance over fiscal year
 - $NI_t = Rv_t - Ex_t + Gn_t - Ls_t$
- **Importance**
 - generating *profit* for its owners is the prime objective of most companies; net income is the most important item in the financial statements
 - earnings are the last line of income statement; *bottom line* has even figurative meaning

- 25 -



Earnings

... the bottom line is that there will be little joking if you not produce a decent bottom line ...



"Get with it, Stevie — Walking and talking are the bottom line these days."

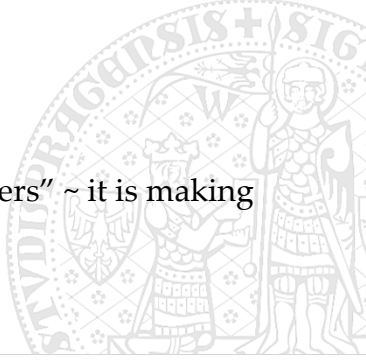
- 26 -



Earnings



- **Negative Amounts**
 - when ending balances from T-account are transformed to final report negative amounts can be reported:
 - (\$ 1 200) ... in brackets
 - \$ 1 200 ... in red
- **“Red Numbers”**
 - company is “in red numbers” ~ it is making losses



- 27 -



Earnings

- **Question**
 - What happens with the profit/earnings at the end of a fiscal period?



- 28 -



Retentions



- **Accumulated Retained Earnings**
 - at fiscal year end IS is closed, *NI* is transferred to “accumulated retained earnings” (*ARE*)
 - generating profit implies increasing owner’s wealth ~ equity, hence $ARE \subset Eq$

Assets	Liabilities, Equity	Expenses	Revenues
			Revenues 1000
		Expenses 850	
	Retained Earnings 2 150		Net Income 2 150 1 150

- 29 -



Retentions

- **Dividends**
 - *ARE* can be re-invested in the company or paid out dividends to owners
 - dividends are *not* expenses, because the firm is seen as a property of its owners

Assets	Liabilities, Equity
Cash	Dividends Payable
2 60	2 60 1 60
	Retained Earnings
	1 60 150

- 30 -



Income Statement

Super T-account

Assets		Liabilities & Shareholders' Equity																										
<table><thead><tr><th colspan="2">Assets</th></tr><tr><th>Dr.</th><th>Cr.</th></tr></thead><tbody><tr><td>+</td><td>-</td></tr></tbody></table>		Assets		Dr.	Cr.	+	-	<table><thead><tr><th colspan="2">Liabilities</th></tr><tr><th>Dr.</th><th>Cr.</th></tr></thead><tbody><tr><td>-</td><td>+</td></tr></tbody></table>	Liabilities		Dr.	Cr.	-	+	<table><thead><tr><th colspan="2">Contributed Capital</th></tr><tr><th>Dr.</th><th>Cr.</th></tr></thead><tbody><tr><td>-</td><td>+</td></tr></tbody></table>	Contributed Capital		Dr.	Cr.	-	+	<table><thead><tr><th colspan="2">Retained Earnings</th></tr><tr><th>Dr.</th><th>Cr.</th></tr></thead><tbody><tr><td>-</td><td>+</td></tr></tbody></table>	Retained Earnings		Dr.	Cr.	-	+
Assets																												
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+	-																											
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-	+																											
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Expenses & Dividends																												
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Revenues																												
Dr.	Cr.																											
-	+																											

- 31 -



Income Statement





B. Rich
HEDGEYE

- 32 -





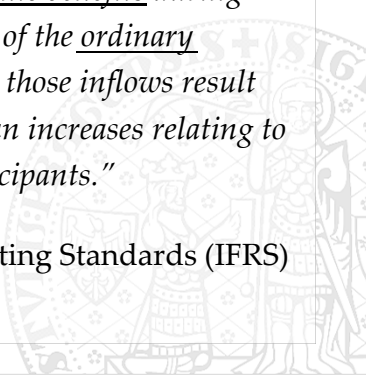
Revenues



Accounting Definition

“Revenue is an inflow of economic benefits during the period arising in the course of the ordinary activities of an enterprise when those inflows result in increases in equity, other than increases relating to contributions from equity participants.”

International Financial Reporting Standards (IFRS)





Revenue Recognition



- **Revenue Recognition Principle**
 - revenues are “positive” component of profit, key *performance measure* indicating that firms *generate value* for owners
 - important to have rules stipulating *when* and at *what amount* revenues are recorded, i.e., need for revenue recognition principle
 - managers may tend to *overstate* revenues, and recognize them *earlier* and *larger* than they should
 - >40% of SEC enforcement actions concern problematic revenue recognition

- 35 -



Revenue Recognition

- **Questions**
 - Why is the word “net” used in denoting the top line in the income statement as “net sales”?
 - What will be the net sales from selling 10 T-shirts of a shop that purchases T-shirts for \$140/piece and sells T-shirts for \$200/piece?
 - What will be the net sales of a ticket sales bureau (e.g., TicketPro, TicketStream) from selling 10 tickets that are sold for \$100/piece, and the sales bureau gets a 5% commission fee from selling each ticket?

- 36 -



Amount



- **Why “Net” Sales?**
 - net sales are reported *net of* the following:
 - *discounts* for prompt payment
 - *allowances*, i.e. reductions in price for damaged or unsatisfactory merchandise
 - *returns* of sold goods by the customers
 - general principle – accounting reflects *economic* nature of transactions rather than *legal* contracts

- 37 -



Amount



- **Middlemen?**
 - sell goods for other firms for *commission fee*
 - do not assume *risks & rewards* of ownership of goods they sell (e.g. entrance tickets)
 - recognize *revenue* only at the commission fee (rather than the full selling price of the goods)

- 38 -



Timing

Questions

- What are the *two main conditions* that shall be met to recognize revenues?
- When are these conditions met when a company makes *credit sales*?
- When are these conditions met when a company sells *gift cards*?

- 39 -



Timing

Conditions

“Revenues and gains of an enterprise during a period are generally measured by the exchange values of the assets (goods or services) or liabilities involved, and recognition involves consideration of two factors, (a) being realized or realizable and (b) being earned.”

Statement of Financial Accounting Concepts No. 5
(Financial Accounting Standards Board)

- 40 -



Timing

1) Earned

“Revenues are considered to have been earned when the entity has substantially accomplished what it must do to be entitled to the benefits represented by the revenues.”

Statement of Financial Accounting Concepts
No. 5 (Financial Accounting Standards Board)

- 41 -



Timing

2) Realized or Realizable

“Revenues and gains are realized when products (goods or services), merchandise, or other assets are exchanged for cash or claims to cash. Revenues and gains are realizable when related assets received or held are readily convertible to known amounts of cash or claims to cash.”

Statement of Financial Accounting Concepts No. 5
(Financial Accounting Standards Board)

- 42 -



Timing

- **Analysis**
 - two parties involved in a deal:
 - *earned (seller)* – firm must deliver goods or render services (completed)
 - *realized or realizable (buyer)* – customer must pay in cash or provide assets *or* promise to do so in the future (completed or expected)
 - note that condition is:
 - *stronger* for the firm (the seller)
 - *weaker* for the customer (the buyer)

- 43 -



Timing

- **Example**
 - firm purchases 10 units of goods at \$2/piece
 - firm sells 10 units of goods at \$3/piece
 - there are no direct production costs
 - all customers pay in full for the goods
- **Required**
 - record the transactions at individual points in time in the company's accounting

- 44 -



Timing

▪ Example – Credit Sales

- Credit sales are sales of goods or services to customers who do not *pay in cash* immediately at the time of purchase.
- The seller issues an *invoice* specifying the amount due that the payment deadline, typically within 30 – 90 days after purchase.
- When to recognize revenue from *credit sales*?
 - ① legal contract signed
 - ① goods are delivered
 - ② payment is made

- 45 -



Timing

▪ Example – Credit Sales

- ① credit sales booked in *accounts receivable* (AR) at selling prices
- ① concurrently, direct are recorded in *cost of goods sold* (COGS) at purchase prices
- ② when customers pay, AR are eliminated against an increase in cash

Assets		Liabilities, Equity	Expenses	Revenues
Accounts Receivable				Net Sales
① 300	② 300			① 300
Inventory			COGS	
	① 200		① 200	
Cash				
	② 300			

- 46 -



Timing



- **Example – Credit Sales**

- Common arrangements with customers:
 - *business-to-consumer (B2C)* – customers pay immediately in cash (e.g. retail)
 - *business-to-business (B2B)* – customers typically request the possibility to pay later (compare to car leasing)

- 47 -



Timing

- **Example – Gift Cards**

- Retailers often allow customers to buy gift cards that can be later redeemed for goods.
- When to recognize revenue from *gift cards*?
 - ① customer purchases it
 - ① customer pays in cash
 - ② holder redeems goods

- 48 -



Timing

▪ Example – Gift Cards

- ① collected cash booked as *unearned revenue (UR)*, obligation to provide goods in the future
- ② firms *earn* revenue after providing goods to gift holders, *UR (Li)* transformed to net sales (*Rv*)
- ② concurrently, direct are recorded in *cost of goods sold (COGS)* at purchase prices

Assets		Liabilities, Equity		Expenses	Revenues
Cash		Unearned Revenue			Net Sales
①	300	②	300	①	300
Inventory				COGS	
	②		200	②	200

- 49 -



Timing



▪ Conclusion

- typically, revenues are *realizable* already at the time of signing the legal contract
- hence, being *earned* tends to be the binding constraint for recognizing revenues
- thus, most companies meet the two conditions and recognize revenue at the *time of delivery*

- 50 -



Revenues



Accounting Conservatism?

"Accounting is cautiously optimistic.
Sales is incautiously optimistic."

- 51 -



Timing

- **Multiple Deliverables**
 - "bundled sales" – product consists of several components (e.g. SW package including SW itself, training, upgrades, customer support)
 - accounting rules require that revenues should be allocated between the individual components and recognized when earned (i.e. delivered)
 - *vendor specific objective evidence* or the *relative fair market value* of each component should be used for the allocation process

- 52 -



Timing

▪ IFRS 15

1. *identify contracts with customers*
2. *identify separate performance obligations*
3. *determine contract price*
4. *allocate contract price to performance obligations*
5. *recognize revenue when obligations are fulfilled*

- 53 -



Timing



▪ Percentage of Completion

- for large long-term projects (e.g. construction of buildings, ships) the regular method based on delivery is not suitable
- recognizes revenues based on the percentage of total projected costs incurred to date
- required when the seller can reliably estimate revenues and expenses
- revenue recognition *before* delivery

- 54 -



Timing

▪ Recognition after Delivery

- when *warranty costs* are potentially significant and cannot be estimated with sufficient precision
- when *right of return* exists and there tends to be a high rate of returns (e.g. publishing industry)
- when the *amount and timing of cash flows* cannot be estimated with sufficient precision

... in these cases, revenue should be recognized when the uncertainty is resolved, i.e. *after delivery*

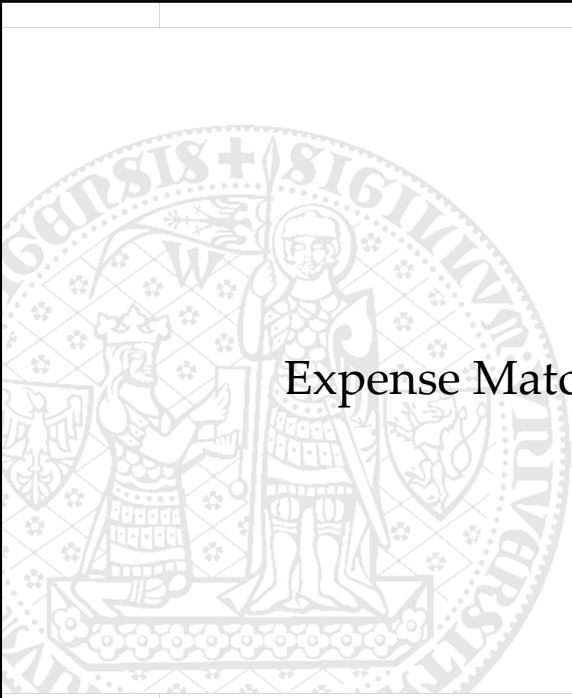
- 55 -



Perspective on Sales



- 56 -



Expense Matching



Expenses

Accounting Definition

“Expense is an outflow of economic benefits during the period arising in the course of the ordinary activities of an enterprise when those outflows result in decreases in equity, other than decreases relating to distributions to equity participants.”

International Financial Reporting Standards (IFRS)



Expenses

▪ Economic Nature

- expenses are *decreases* in economic benefits, they represent *costs* incurred in generating revenues
- expenses are:
 - *negative revenues*,
 - *reductions in equity*
- if positive income (*revenues*) exceed negative income (*expenses*) the company earns *profit*

- 59 -



Expenses



▪ Matching Principle

- expenses are recorded when *corresponding* revenues are recognized, *not* when cash is paid (for equipment, inventory, salaries, etc.)
- *matching* of revenues expenses implies that periodic earnings show *value created*
- to measure economic performance in a period:
 - recognized *revenues* must be matched with
 - all relevant/corresponding *expenses* incurred

- 60 -



Expenses

- **Product Costs (COGS)**
 - costs directly attributable to specific units of goods sold (by definition)
 - *Ex* recorded together with corresponding *transaction* recognizing *Rv* (usually at delivery)
- **Period Costs (SG&A)**
 - costs that cannot be directly attributed to specific units of goods sold
 - *Ex* recorded at *fiscal year end* based on mere passage of time

- 61 -



Expenses



- **Cost of Goods Sold**
 - *direct* cost related to producing and selling products or services to customers
 - e.g. cost of raw materials, salaries of workers, depreciation of factory & equipment
- **Gross Profit/Margin**
 - gross profit = $NS - COGS$
 - important measure esp. for merchandising firms
 - *COGS* – purchase cost of merchandise
 - *gross margin* – price mark-up

- 62 -



Expense Matching

▪ Cost of Goods Sold (COGS)

- ❶ when goods are delivered to customer *Rv* are recognized at *selling prices* against an increase in *As* (e.g. cash, accounts receivable)
- ❶ concurrently, direct cost incurred to produce goods sold are recorded as *Ex* at *purchase prices* of raw material & prod. cost (e.g. direct labor)

Assets	Liabilities, Equity	Expenses	Revenues
Accounts Receivable			Net Sales
❶ 300			
Inventory		COGS	
		❶ 200	❶ 300

- 63 -



Expenses

▪ Selling, General & Administrative Costs

- *indirect* (overhead) cost that cannot be attributed to individual units produced
 - *admin.* – e.g. salaries to HQ, HR, IT
 - *selling* – e.g. cost of PR, marketing dept.
 - *general* – e.g. insurance, rent

▪ EBIT

- “earnings before interest and taxes”
- $EBIT = NS - COGS - SG\&A - \text{other oper. expen.}$
- key measure of operating performance

- 64 -



Expense Matching

▪ Selling, General & Admin. Expenses (SG&A)

- ❶ management salaries are recorded as *Ex* against an increase in *Li* reflecting obligation to make future cash payment to management
- ❷ when firm pays its management their salaries in cash *Li* is eliminated against a decrease in *As*

Assets		Liabilities, Equity		Expenses		Revenues
Cash		Salaries Payable		SG&A		
	❷ 150	❷ 150	❶ 150	❶ 150		

- 65 -



Expense Matching

▪ Selling, General & Admin. Expenses (SG&A)

- ❶ paying office rent for next year is recoded as increase in *As* reflecting future benefit from using offices by firm administration
- ❷ when firm “consumes” pre-paid rent, *As* is eliminated against *Ex* reflecting cost of office use

Assets		Liabilities, Equity		Expenses		Revenues
Cash						
	❶ 100					
Prepaid Expense				SG&A		
❶ 100	❷ 100			❷ 100		

- 66 -



Expense Matching

▪ Violation of the Matching Principle

- *uncertain future benefit*
 - *expense* today ~ future *revenue*
 - cash paid for R&D, advertising, restructuring is today *expensed* as incurred rather than *capitalized* as assets and amortized
- *insufficient past expense*
 - *expense* today ~ past *revenue*
 - assets depreciated too slowly are *written off* today, insufficient provisions for lawsuit charges imply today's expenses

- 67 -



Expense Matching

▪ Research & Development (R&D)

- ❶ cash paid for research expensed as incurred rather than capitalized as an asset
- ❷ research yields expertise that helps generate revenue in the future

Assets		Liabilities, Equity		Expenses		Revenues	
Cash						Net Sales	
❷	?	❶	100			❷	?
				SG&A			
				❶	100		

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Expense Matching

▪ Insufficient Depreciation

- ① a firm purchases an IT system for 120, it expects the IT system to last for 6 years
- ① it periodically depreciates the IT system using straight line depreciation
- ④ at the end of year 4 it discovers that the IT system is worthless (therefore its true useful life was in fact only 4 years)

- 69 -



Expense Matching

▪ Insufficient Depreciation

- ① company IT system is periodically depreciated
- ① company IT system helps generate revenue
- ④ past periodic depreciation turns out insufficient, company IT system is written off

Assets		Liabilities, Equity	Expenses		Revenues
Cash					Net Sales
❶	?				❶ ?
PP&E			SG&A		
	❶ 20		❶	20	
	❷ 60		❷	60	

- 70 -



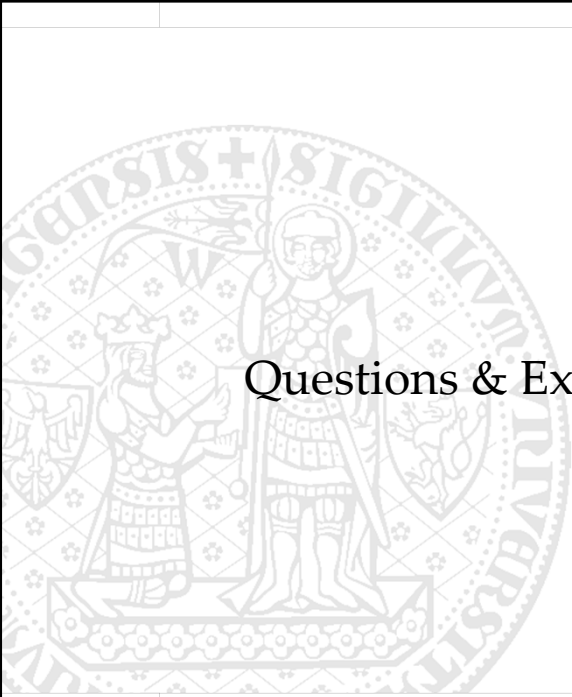
Revenues & Expenses



GLASBERGEN

"The bad news is, our customers hate us. The good news is, we have a lot fewer customers than we used to!"

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Questions & Exercises



Questions

- **Revenue Recognition**

- Typically revenues are recognized at the time of delivery of goods or services.
- Nevertheless, exceptions exist. POC recognizes revenues before delivery and sometimes the recognition takes place only after delivery.
- Why do these exceptions exist? How does recognizing revenue earlier or later affect the trade-off between *relevance* and *reliability*?

- 73 -



Question

- **Kappa and Lambda**

- Composition of operating expenses has important implications for financial analysis.
- Two retailers running supermarket chains (e.g. Walmart, Tesco). Both firms:
 - buy merchandise from identical suppliers
 - trade merchandise of comparable quality
 - own similar shops located in comparable areas
 - do almost no marketing for their products
 - use the same accounting methods

- 74 -



Question

- **Kappa and Lambda**
 - The firms differ in how they organize the process of selling and in their selling strategies.
 - You consider making a portfolio investment in one of the firms to be a passive investor.

- 75 -



Question

- **Kappa and Lambda**
 - Give a list of costs in *COGS* and *SG&A* of a supermarket chain.
 - How do the firms differ in selling strategy? (Hint: is there a difference between their purchase prices?)
 - How do they differ in operating efficiency? (Hint: what is the reason for lower *SG&As* of Lambda?)
 - Which of the firm should you invest in if you are a passive investor?

- 76 -



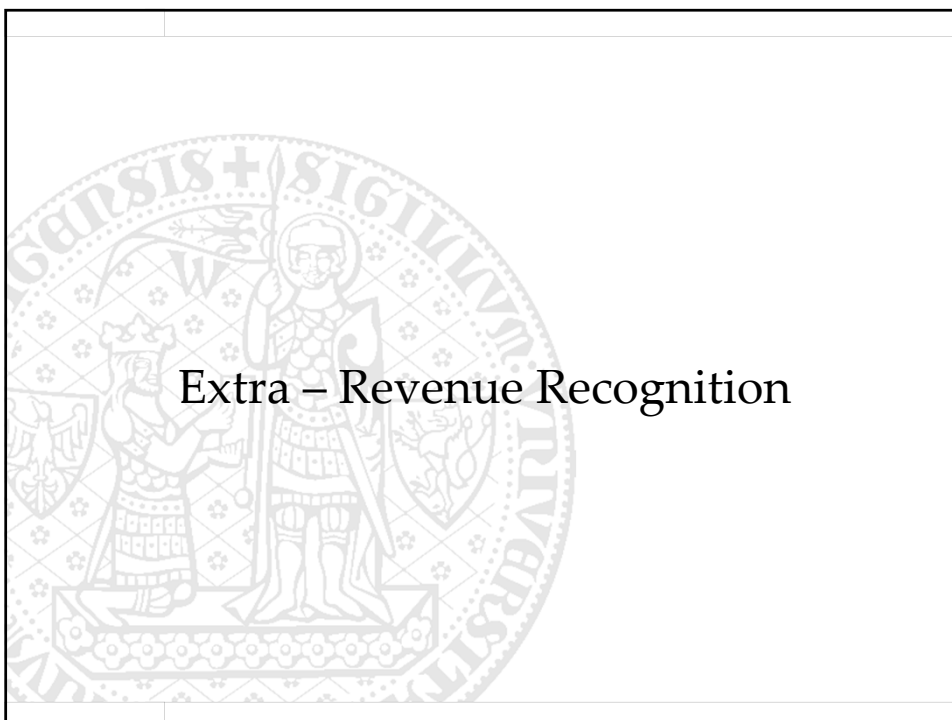
Question



- **Kappa and Lambda**
 - Give examples of costs in *COGS* and *SG&A*.
 - How do the firms differ in their selling strategies and in operating efficiency?
 - Which of the firms is likely prevail in the future?

[bil. USD]	Kappa	Lambda
<i>Net Sales</i>	100.	100.
<i>COGS</i>	(70)	(80)
<i>SG&A</i>	(20)	(10)
<i>EBIT</i>	10.	10.

- 77 -



Extra – Revenue Recognition



Revenue Recognition

IFRS 15

“The recognition criteria of revenue in accounting standards is about to change – and your entity might be significantly affected, maybe even more than you expect!”

Deloitte (2017) IFRS 15: Are you ready for the Big Change?

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Revenue Recognition

IFRS 15

“Overall, the effect of IFRS 15 on profits or net assets may not be extensive, although the effort required to implement it may have been significant, [...]”

ACCA (2019) What impact has IFRS 15 had on companies?

- 80 -



Revenue Recognition

IFRS 15

“We conclude that IFRS 15 has led to much effort in implementing the standard, but that, in terms of the impact on reported revenue in the income statement, the new standard has not generated significant changes in the accounting numbers for the majority of companies.”

Napier & Stadler (ABR'20) The real effects of IFRS 15

- 81 -



Revenue Recognition

- IFRS 15
 1. identify contracts with customers
 2. identify separate performance obligations
 3. determine contract price
 4. allocate contract price to performance obligations
 5. recognize revenue when obligations are fulfilled

- 82 -



Revenue Recognition

IFRS 15 - Comparability

"The FASB worked together with the IASB on the standard which resulted in an almost identical outcome for both of those accounting regimes."

PWC (2015) New IFRS 15

- 83 -



Revenue Recognition

IFRS 15 - Estimates

"IFRS 15 is principles-based, consistent with legacy revenue requirements, but provides more application guidance. The lack of bright lines requires increased judgement."

E&Y (2019) A closer look at IFRS 15

- 84 -



Revenue Recognition

IFRS 15 - Control

“The basic principle of IFRS 15 is recognising revenue when the control over a product / service is being transferred to the client. Control is a broader term than the previously used criterion of risk and rewards, which determined when the revenue will be recognised according to IAS 18.”

PWC (2015) New IFRS 15

- 85 -



Revenue Recognition

IFRS 15 – Time Value of Money

“In determining the transaction price, an entity shall adjust the promised amount of consideration for the effects of the time value of money if the timing of payments [...] provides the customer or the entity with a significant benefit of financing the transfer of goods or services to the customer.”

Deloitte (2014) IFRS 15: Part 2B – Differences vs. IAS 18

- 86 -



Revenue Recognition

IFRS 15 – Warranty

“If a warranty [...] provides a customer with a service in addition to the assurance that the product complies with agreed-upon specifications, the promised service is a performance obligation. Therefore, an entity shall allocate the transaction price to the product and the service.”

Deloitte (2014) IFRS 15: Part 2B – Differences vs. IAS 18

- 87 -



Revenue Recognition

IFRS 15 - Affected

“The biggest changes will be noticed by the entities offering products and services in multiple item packages; selling licenses; providing services in a form of long-term contracts and those who apply variable price or conditional remuneration in their contracts with clients.”

PWC (2015) New IFRS 15

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Revenue Recognition

IFRS 15 - Disclosure

“Additional disclosures is an element which will affect all companies implementing IFRS 15.”

PWC (2015) New IFRS 15

- 89 -

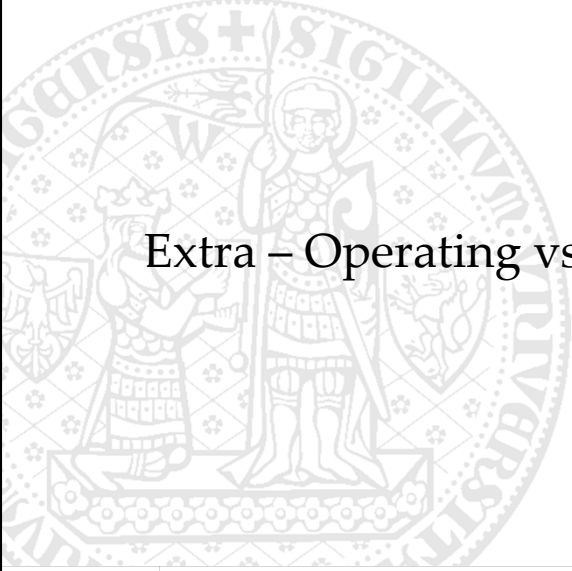


Revenue Recognition



Can you do another draft of this?
There's still a couple of sentences people might understand

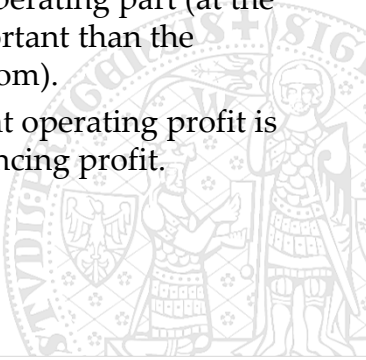
- 90 -

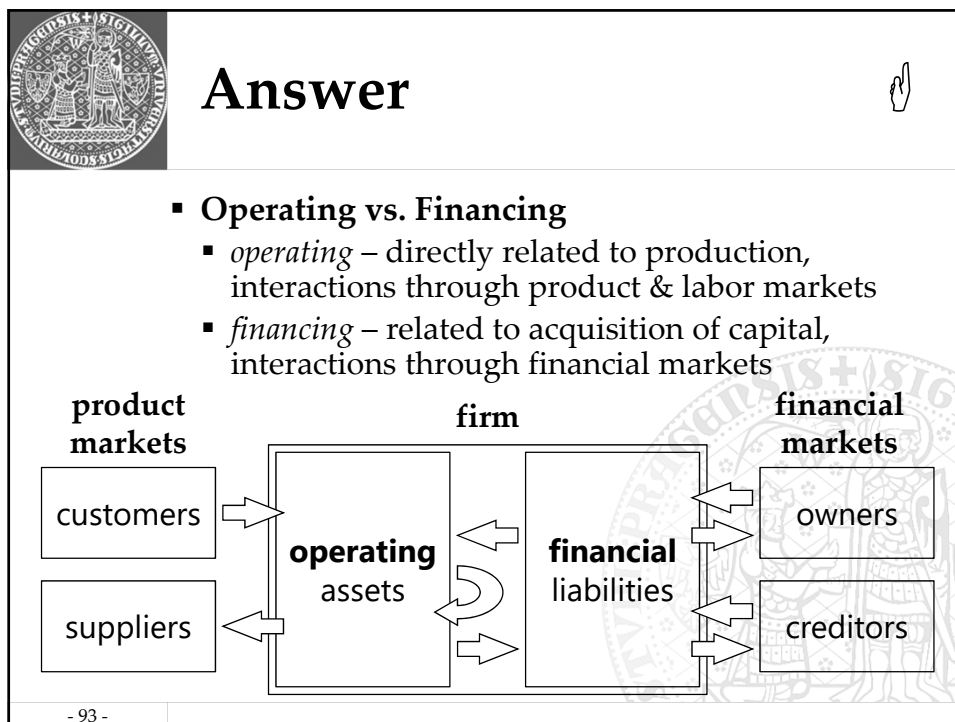


Extra – Operating vs. Financing



Questions

- **Operating vs. Financing**
 - Functional form of IS orders the items based on *importance* (the largest items are at the top).
 - Following this logic the operating part (at the top) should be more important than the financing part (at the bottom).
 - Discuss why measurement operating profit is more important than financing profit.
- 



Extra – Contingent Gains, Losses



Contingencies

Accounting Conservatism

- to promote reliability accounting standards require the assessment of the future prospects to be *conservative* (i.e. skeptical about future)
- when uncertainty exists:
 - likely *bad news* (e.g. contingent losses) should be recognized immediately ($Ex \sim Li$)
 - likely *good news* (e.g. contingent gains) recognition should be postponed till they actually materialize

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Contingencies

Contingent Losses

- losses “contingent” (= “dependent”) on some future event, e.g. outcome of a lawsuit
- contingent losses are recognized immediately if they are both (1) probable *and* (2) measurable; if only one of the conditions is met information is disclosed in footnotes

Contingent Gains

- are recognized only when they materialize

Assets		Liabilities, Equity		Expenses	Revenues
Cash		Contingent Liability		Expense	
	€ 420	€ 420	① 420	① 420	

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Contingencies

▪ Probabilities

- IAS 37 on contingencies and provisions requires this treatment (probabilities not explicitly stated)

		contingent liability	contingent asset
virtually certain	> 95%	provide	recognize
probable	> 50%	provide	footnotes
possible	> 5%	footnotes	ignore
remote	< 5%	ignore	ignore

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Questions

▪ Accounting Conservatism

- Accounting conservatism requires asymmetric treatment of contingent gains and losses:
 - *losses* recognized immediately
 - *gains* recognized only after they materialize
- What is the reason for the asymmetry? What effect does it have on equity (*Eq*)? For whom is the effect important?

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